

extend any warranties to Plaintiffs in connection with the sale. (Lewis Declaration, ¶¶ 3-8; Exhibits A-B to Lewis Declaration; Kraft Declaration, ¶¶ 3-4; Exhibit A to Kraft Declaration; Espinosa Declaration, ¶ 2; Exhibit A to Espinosa Declaration.)

However, the Court of Appeal for the Fourth District, Division Two, remarked that, while the Song-Beverly Consumer Warranty Act may not apply to used vehicles that was only accompanied by a balance of the original warranty, “the beneficiary of a transferrable express warranty can sue a manufacturer for breach of an express warranty to repair defects under the California Uniform Commercial Code. [Citations.]” (*Rodriguez v. FCA US, LLC* (2022) 77 Cal.App.5th 209, 225; accord, *Leon v. Volkswagen Group of America, Inc.* (C.D. Cal., June 27, 2025, No. 2:24-CV-03863-SPG-MAA) 2025 WL 1843211, at *2; see *Grismore v. Mercedes-Benz USA, LLC* (C.D. Cal. 2024) 710 F.Supp.3d 828, 837 [while a consumer who leased a used vehicle cannot recover against the manufacturer under the Song-Beverly Consumer Warranty Act, it can sue the manufacturer under the California Uniform Commercial Code].)

And here, Volkswagen admits that, when Plaintiffs acquired the subject vehicle, it retained the balance of the New Vehicle Limited Warranty. (Lewis Declaration, ¶¶ 4, 6.)

Since Volkswagen did not meet its initial burden, there remains a triable issue of material facts as to Defendants’ Material Fact nos. 1-5. Thus, the Court shall deny the Motion for Summary Adjudication as to the First Cause of Action.

Violation of Song-Beverly Act – Breach of Implied Warranty

Audi Mission Viejo seeks summary adjudication of the third cause of action, arguing that the breach of implied warranty claim fails because Plaintiffs cannot show the vehicle was unfit for ordinary use, and also because Plaintiffs did not present the subject vehicle for inspection or repair of said defects within the first three months of ownership. (Lewis Declaration, ¶¶ 3, 5, 9-10; Exhibits A, B, D to Lewis Declaration; Kraft Declaration, ¶¶ 3, 4, 7, 8; Exhibits A & B to Kraft Declaration; Espinosa Declaration, ¶ 2; Exhibits A-C to Espinosa Declaration.)

However, “[t]he Song–Beverly Act does not include its own statute of limitations. [Citation.] California courts have held that the statute of limitations for an action for breach of warranty under the Song–Beverly Act is governed by the same statute that governs the statute of limitations for warranties arising under the Uniform Commercial

Code: section 2725 of the Uniform Commercial Code. [Citations.] Under this statute, ‘(1) An action for breach of any contract for sale must be commenced within four years after the cause of action has accrued.... [¶] (2) A cause of action accrues when the breach occurs, regardless of the aggrieved party’s lack of knowledge of the breach. A breach of warranty occurs when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered.’ [Citation.]” (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1305–1306.)

The *Mexia* court held that the statute of limitations for an action for breach of the implied warranty under the Song-Beverly Act is four years, and that the earliest date the implied warranty of merchantability could have accrued was the date the plaintiff purchased the used boat, such that his action, which was filed more than three-and-a-half years after purchase, was not barred by the statute of limitations. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1306; see *Reniger v. Hyundai Motor America* (N.D. Cal. 2015) 122 F.Supp.3d 888, 902-905 [following *Mexia* in holding that latent defects that may have existed at the time of purchase, but which were not discovered until after the warranty period, are not time-barred where the complaint was filed within the four-year statute of limitations].)

In *Mexia*, the defendants argued, among other things, that the used boat was fit for its ordinary purpose since the plaintiff did not seek repair until over two years from the time of purchase. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1308.) The defendants also argued that the duration provision of the statute precluded an action for breach of the implied warranty of merchantability under the Song-Beverly Act when the action is based on a latent condition that was not discovered by the consumer, and that was not reported to the seller, within the duration period. (*Id.* at pp. 1308-1309.)

The defendants’ position was rejected, as their interpretation of the duration provision had no support in the text of the statute, and there was nothing to suggest a requirement that the purchaser discover, and report to the seller, a latent defect within that time period. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1310.) “If the Legislature intended to create a deadline by which a purchaser of goods covered by the Song–Beverly Act must report a defect to the seller, it had a ready model for doing so ... If the Legislature intended the duration provision to impose a deadline for consumers

to give notice of defects under the Song–Beverly Act, it could have easily done so. It did not.” (*Ibid.*)

Pursuant to the holding in *Mexia*, and without even addressing whether the coolant system defect rendered the subject vehicle unfit for its ordinary purpose (see *Chiulli v. American Honda Motor Co., Inc.* (N.D. Cal. 2023) 690 F.Supp.3d 1038, 1053-1054 [defective infotainment system sufficient to assert a claim for breach of implied warranty of merchantability, even if plaintiffs continued operating the defective vehicle]), Audi Mission Viejo’s Motion for Summary Adjudication of the third cause of action fails because there is a triable issue of material fact as to whether said defects existed at the time Plaintiffs purchased the vehicle, and whether said defects were undiscoverable at the time of purchase.

Contrary to its position, the fact that Plaintiffs did not present their vehicle for repair within three months does not necessarily bar their claim. (See *Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1308-1310 [rejecting the defendants’ contention that the used boat was fit for its ordinary purpose, and did not breach the implied warranty of merchantability, because plaintiff did not discover, report, or otherwise seek repair of the alleged latent defect, until over two years from the time of purchase].)

Since Audi Mission Viejo did not meet its initial, or its ultimate, burdens as to Material Fact nos. 6 through 9, the Court shall deny the Motion for Summary Adjudication as to the third cause of action for Violation of the Song-Beverly Act – Breach of Implied Warranty.

Negligent Repair

Audi Mission Viejo moves for summary adjudication of the negligent repair cause of action, arguing this claim is barred by the economic loss rule.

“When California courts encounter a dearth of California appellate decisions on a particular legal question, they ‘often look to decisions of California federal courts and out-of-state cases in resolving’ the issue. [Citation.]” (*Fourth Inv. LP v. U.S.* (9th Cir. 2013) 720 F.3d 1058, 1069.) Unpublished federal court decisions do not violate rule 8.1115 of the California Rules of Court, and they may be cited as persuasive authority. (*In re Farm Raised Salmon Cases* (2008) 42 Cal.4th 1077, 1096, fn. 18; *Olinick v. BMG Entertainment* (2006) 138 Cal.App.4th 1286, 1301, fn. 11.)